pattern permits up to 15 per cent investment in equity and equity-oriented schemes, but a very small proportion goes in the same.

NPS investment guidelines prescribe a maximum exposure of 50 per cent of the corpus in government securities and related investments, including state development loans. There is another category of debt instruments and related investments that can have up to 45 per cent investments. Whichever way the guidelines have been interpreted, as on 31 March 2021, of the total corpus of Rs 5.78 lakh crore, Rs 1.81 lakh crore was invested in Central government securities and Rs 2.92 lakh crore in state government securities. In all, 81 per cent of the total corpus of NPS and other pension schemes regulated by the Pension Fund Regulatory and Development Authority (PFRDA) was invested in government debt.

The Centre made a transformational move in 2004 when most new Central government staff were brought into the defined benefit system. The system was gradually adopted by all state governments, public-sector non-industrial entities and state government entities.

This move, in fact, brought the retirement savings industry to India. However, the conservatism applicable on EPFO investments was more or less replicated in NPS; as mentioned above, NPS, too, invests almost its entire corpus in government securities. There is no forward thinking about retirement fund managers setting up investment desks and building inhouse capability to invest in alternative assets like direct investment in infrastructure and real estate.

Government Pre-empts Bulk of Credit: Government Held Half the Credit Stock of Rs 300 Lakh Crore in 2020

Three groups of borrowers—governments, businesses and households—are the final consumers/users of credit. Credit/financial flow that takes place between different kind of players of the financial system does not constitute the final credit outstanding from the financial system to the real economy.